

Avoiding Credit-Repair Scams

Some companies claim they can “fix” bad credit histories for a large sum. It is legally impossible to alter an accurate credit history. If you find yourself in credit trouble, develop a budget and work with your creditors to pay your debts and re-establish a good credit rating. There’s no quick fix.



If you find yourself a victim of a credit-repair scam, contact your local consumer protection agency (click on “Consumer Agencies” at www.consumerworld.org), your state’s attorney general (click on “The Attorneys General” at www.naag.org), or your local Better Business Bureau (information is available at www.bbb.org).

With so many people carrying too much debt, credit card-repair scams are rampant. Don’t fall for anything that sounds too good to be true. Ads that promise to fix your bad credit, create a new credit identity, or remove bad credit information from your credit report are scams. In addition, some credit counseling services are shady. Stick with Consumer Credit Counseling Services located at www.nfcc.org.

Errors in your credit report or outdated information can legally be removed, but you don’t need to pay somebody to do it. You can do it yourself by writing a letter to the credit bureau. Negative information can’t be removed if it’s accurate. Credit-repair clinics may use illegal tricks to get something temporarily removed from your credit report but it will show up again the next month when your lender updates the information provided to the credit-reporting bureau.